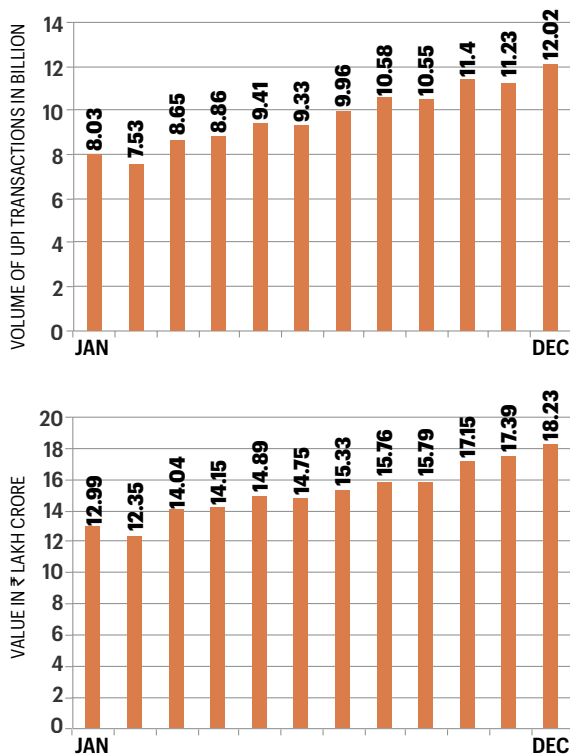


THE UPI JUGGERNAUT

10 BILLION AND COUNTING

- ▶ The bulk of UPI transactions are debit in nature
- ▶ Monthly UPI transaction volumes are neck and neck with those of Mastercard

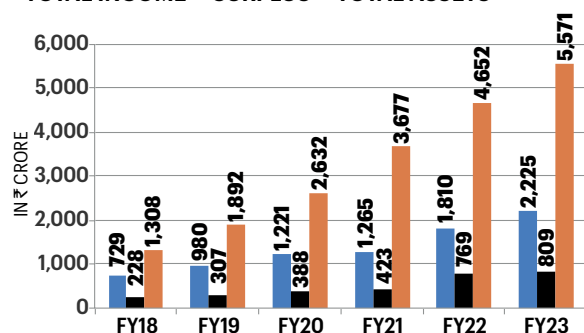


NOTE DATA FOR 2023 SOURCE NPCI

EMPOWERED AND AUTONOMOUS

- ▶ Robust financials enable NPCI to be self-sufficient in attracting talent and investing in innovation
- ▶ Owned by market participants, it maintains an independent corporate character

● TOTAL INCOME ● SURPLUS ● TOTAL ASSETS



SOURCE NPCI

ingtechgiants such as Microsoft, Google, Amazon, Apple, Meta, and other industry powerhouses, by embracing cutting-edge deep-tech advancements. Asbe says although NPCI is currently engaged in open source, AI, and distributed ledger technologies like blockchain, the ultimate objective is to excel in these domains.

Kunal Kalawatia, who heads the product function at NPCI, and is responsible for a range of products including Aadhaar-based payments, BHIM, RuPay, NETC, NFS and UPI, stresses the crucial role of deep human anchoring within the organisation. “We call it deep human and deep tech,” says Kalawatia, stressing that the demand for most of the products stems from consumers.

The NPCI follows a systematic approach that integrates design thinking. This involves articulating the problem, engaging with the ecosystem, gathering diverse ideas, filtering them, conducting a feasibility check, and then developing them. “It’s a very deep human process. It takes its own time and pace,” says Kalawatia.

Some of these principles were formulated by Infosys Founder N.R. Narayana Murthy, the first chairman of the 15-year-old NPCI. In the first five years, NPCI was primarily a buyer of technology, with complete dependence on outside vendors. NPCI was promoted with the support of the Reserve Bank of India (RBI) by several banks as a non-profit organisation. The new team, with Asbe as the first employee and A.P. Hota as MD & CEO, operated from two modest rooms within the Indian Banks’ Association’s (IBA) offices.

It initially got charge of the National Financial Switch (NFS), which runs the ATM network in the country. It also developed the Cheque Truncation System, or CTS, which clears cheques electronically. The NPCI also oversees FASTag, driven by RFID technology, ensuring smooth passage through toll gates. In fact, NPCI is working very closely with RBI on its central bank digital currency (CBDC).

In August 2013, Murthy had to exit the NPCI after taking charge as Executive Chairman of Infosys. But another Infosys Co-founder, Nandan Nilekani, stepped in to lend support as he was the Chairman of the Unique Identification Authority of India (UIDAI) then. Being a technology expert, Nilekani encouraged NPCI to think bigger. It is he who motivated the young organisation to create UPI. Interestingly, he advocated the idea of NPCI using open-source networks, allowing external developers to contribute to software development.